

Edexcel A Level Economics (A) Unit Assessment

2.6 Macroeconomic Objectives and Policies

(Edition 1)

Time: 70 minutes

Maximum marks: 55

Name

Centre Name

Edexcel A Level Economics (A)

Unit Assessment – 2.6 Macroeconomic Objectives and Policies

Total marks: 55 Time Allowed: 70 minutes

Section A

ANSWER ALL THE QUESTIONS

1a Outline the difference between monetary and fiscal demand-side policies.

(2 marks)

1b Which of the following is the most appropriate definition of a “balanced budget”?

- | | | |
|---|--|--------------------------|
| A | Government spending is equal to tax revenue raised | ☐ |
| B | Value of exports is equal to the value of imports | ☐ |
| C | The national debt is zero | ☐ |
| D | Aggregate demand is equal to aggregate supply | ☐ |

(1 mark)

1c Give an example of i) a direct tax and ii) an indirect tax.

(2 marks)

i) Direct tax:

ii) Indirect tax:

- 2a** Using an AD/AS diagram, explain how increases in the money supply would be expected to affect aggregate demand and economic growth.

(4 marks)

Draw your diagram in this space:

Write your answer in this space:

- 2b** A Phillips Curve illustrates the trade-off between:

- | | | |
|---|---|--------------------------|
| A | economic growth and inflation. | ☐ |
| B | the trade balance and rising income. | ☐ |
| C | the unemployment rate and wage inflation rates. | ☐ |
| D | inequality and economic growth rates. | ☐ |

(1 mark)

- 3a** Using examples, explain the difference between a market-based and interventionist supply side policies.

(4 marks)

3b Which of the following is unlikely to be a benefit of greater use of free-market supply side policies in an economy?

- A Greater allocative efficiency due to increased use of the price mechanism. ☐
- B Reduction in the size of the government's budget deficit. ☐
- C A reduction in the level of inequality. ☐
- D Non-inflationary economic growth. ☐

(1 mark)

4a Using an AD/AS diagram, explain how increased government spending on healthcare might improve the economy's productive potential.

(4 marks)

Draw your diagram in this space:

Write your answer here:

4b Which of the following is NOT a supply-side policy measure?

- A deregulating industry to encourage more competitive markets
- B linking unemployment benefits to the obligation to look for work
- C tackling a cyclical slump by lowering interest rates
- D tackling structural unemployment by giving grants for labour mobility

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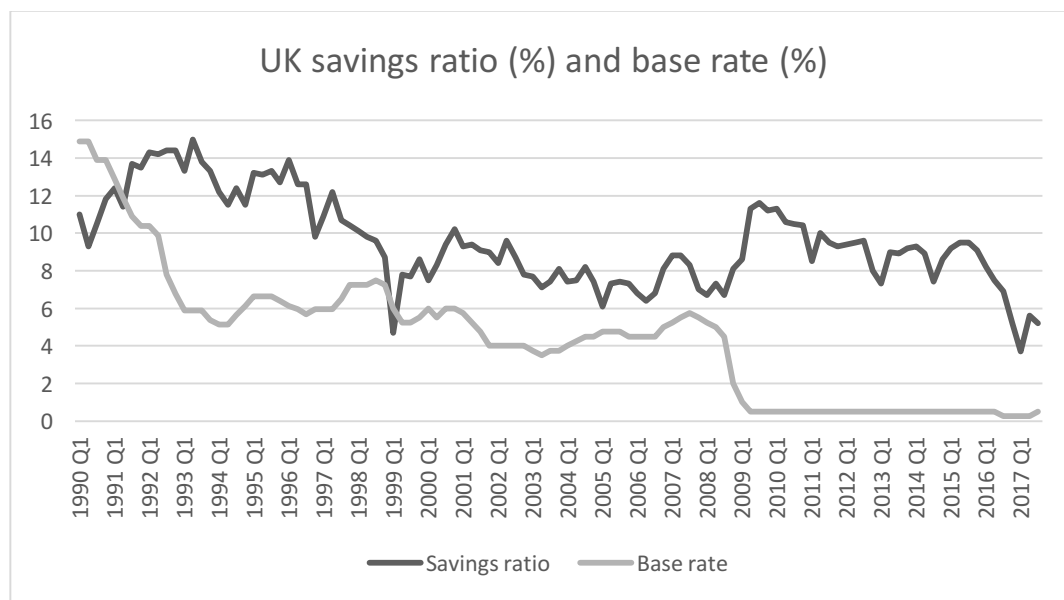
(1 mark)

Section B

READ THE EXTRACTS AND THEN ANSWER ALL THE QUESTIONS

Extract 1: Interest Rates and Savings

Source: ONS and Bank of England



Extract 2: Savings ratio at record low as disposable income drops

Source: <http://www.bbc.co.uk/news/business-40454385>

The savings ratio is proportion of UK residents' disposable income that goes into savings; it has now fallen to a record low. The Office for National Statistics (ONS) said the ratio stood at 1.7% from January to March 2017, down from 3.3% in the previous quarter.

According to ONS figures, UK economic GDP growth is slow; the UK economy grew by just 0.3% in the first quarter of 2017 and a further 0.3% in the second quarter. But, for the first time since the 1970s, disposable income has fallen for three quarters in a row. As a result, concerns have been expressed about the level of consumer borrowing on loans, credit cards, overdrafts and car finance.

Frances O'Grady, general secretary of the Trades Union Council, said: "These figures make for grim reading ... with wages falling but inflation up at 2.6%, many families are having to run down their savings or rely on credit cards and loans to get through the month. With household debt now at crisis levels, we urgently need to create better paid jobs."

5a Using the information provided in Figure 1, explain the likely relationship between changes in the Bank Rate and the savings ratio.

(5 marks)

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

5b Using the information provided in Extract 1, assess whether the Bank of England should decrease the Bank Rate further in order to stimulate economic growth.

(10 marks)

[illegible]

(20 marks)

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End of Questions

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